

CH 6 DEMAND & SUPPLY (I)

Microeconomics by Topic
6. Demand & Supply (I)

6.1 THE LAW OF DEMAND

MARKING SCHEME

1995/CE/II/06 C	2004/CE/II/08 B (55%)	2008/CE/II/06 B (24%)	2019/DSE/I/12 B	2020/DSE/I/17 D
1997/CE/II/07 B	2006/CE/II/49 A (70%)	2000/AL/I/08 B	2020/DSE/I/12 D	2023/DSE/I/10 A
2023/DSE/I/11 A	2024/DSE/I/11 A	2024/DSE/I/12 A	2025/DSE/I/27 C	2025/DSE/I/37 C

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1995/CE/II/3

- (a) If the price of a good rises, its quantity demanded will decrease, (and vice versa,) ceteris paribus. (2)
- (b) 'Quantity demanded' refers to consumers' plan, and does not imply what can be actually bought (in what quantity and at what price) in the market. (2)

1996/AL/I/7(a)

The time cost of shopping is reduced by the supermarket. With sharply rising wages of domestic servants, this reduction of shopping time worth more.

1996/AL/I/8(a)

The cost of raising children has risen significantly in Hong Kong because of the rising costs of domestic servants, the rising employment opportunity, for women, a general increase in the cost of time, and a sharp rise in housing rent. Hence the quantity of children demanded falls.

2000/AL/I/6

- (a) No. For a given household size, the new charge will be a lump-sum fee, which will not vary with the amount of garbage disposed of. In other words, the marginal cost of disposing garbage remains unchanged.
- (b) No, if all the garbage is filled into one big bag before and after the change.

However, if more than one bag are originally used, the number of garbage bags will drop, with each bag squeezed more tightly. Because there are limits as to how tight the bag can be squeezed, the amount of garbage will also drop.

2001/AL/I/3

The cost of time falls for customers taking haircuts during holidays. The price of a haircut is the price charged by a barber plus the time cost, so during holidays the full price of a haircut falls.

(Therefore, according to the law of demand, the number of customers going to barber shops during holidays is larger.)

2023/DSE/II/12(a)(i)

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|---|---------------------|
| (a) (i) According to Source B, crude oil is an input for producing gasoline. As the prices of crude oil increase, the cost of producing gasoline increases. | Marks
(1) |
| Supply of gasoline decreases. | (1) |
| Price increases. | (1) |

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6.1 THE LAW OF DEMAND

2024/DSE/II/13(c)

- (c) (i) Indicate in the diagram:
wage rate (\$62.4) below equilibrium (1)
labour shortage = ab (1)
- (ii) Verbal elaboration:
– As a labour shortage exists at the prevailing wage rate (\$62.4), it can be concluded (1)
that the prevailing wage rate is below the equilibrium. As the minimum wage rate (\$40) is below the prevailing wage rate, it must be below the equilibrium wage rate as well.
– Thus, the minimum wage is ineffective in the labour market of waiters in 2023. (1)

Indicate in the diagram:

- minimum wage rate (\$40) < \$62.4 < equilibrium wage rate (1)

